



EXTENSION SIXER

N Chandrasekaran likely to stay on as Tata Sons Chairperson till 2032

► **TATA TRUSTS HAVE approved a proposal that could see N Chandrasekaran continue as Chairman of Tata Sons for a third term, signalling a departure from the group's traditional retirement practices. Historically, senior executives have been expected to retire from executive roles at 65, although they may remain in non-executive capacities until 70.**

With Chandrasekaran's current term set to end in 2027, the resolution from Tata Trusts—if accepted by Tata Sons—will allow him to continue in an executive position beyond that, marking a first in the conglomerate's history.

The proposal was tabled at a meeting of the Trusts on September 11 by Noel Tata and Venu Srinivasan, who highlighted the importance of leadership continuity as the group navigates an unprecedented business transformation. Reports indicate the proposal received unanimous backing from the board.

companies are, disagreements within the top leadership spill over," says Rajiv Agarwal, Professor and Department Chair (Strategy) at SP Jain Institute of Management and Research. "Managers at every level are affected and distracted. Plus, there is a risk of them being forced to choose sides if it becomes a long-drawn affair."

He cautions that "one cannot look at the Tata group only as a business or the trust as owners. There are employees, consumers, and a community for whom the Tata brand is a part of their lives."

The Tata Group, long seen as a synonym for probity and nation-building, is confronting the same question every large family enterprise eventually faces—how to reconcile legacy with the demands of modern governance.

WHAT'S NEXT

With Tata Sons and Tata Trusts unanimous on not listing, what are the options before the SP Group, especially as the RBI is yet to take a definite stand on the matter? One option, say legal experts, could be to prove suppression of rights of minority shareholders in a court and seek a fair exit. Multiple investment bankers *BT* spoke to pointed out since Tata Sons is a private company, the board has complete power to decide on the listing. "The SP Group is a minority shareholder, making it very difficult to exit their holding. Every proposal it brings to the table will need to be cleared by the board of Tata Sons," says one banker who has worked closely with the group. If Tata Trusts decide to buy out the SP Group, it will have to be at a fair value taking into consideration a discount for a holding company.

Ranina points out that Tata Sons is a core investment company and not an NBFC. "It makes the issue clear since they are not in possession of borrowed money. Once the NBFC tag is off, the regulation will not apply to Tata Sons," he says. On the issue of legal options left to the SP Group, Ranina says a minority shareholder has no right to anything, including a board seat. "They are entitled only to dividend."

The interdependence between Tata Sons and Tata Trusts—part corporate, part charitable, part familial—makes resolution tedious but essential. "The inextricable connect between the trust and the holding company means it cannot be resolved within compartmentalised